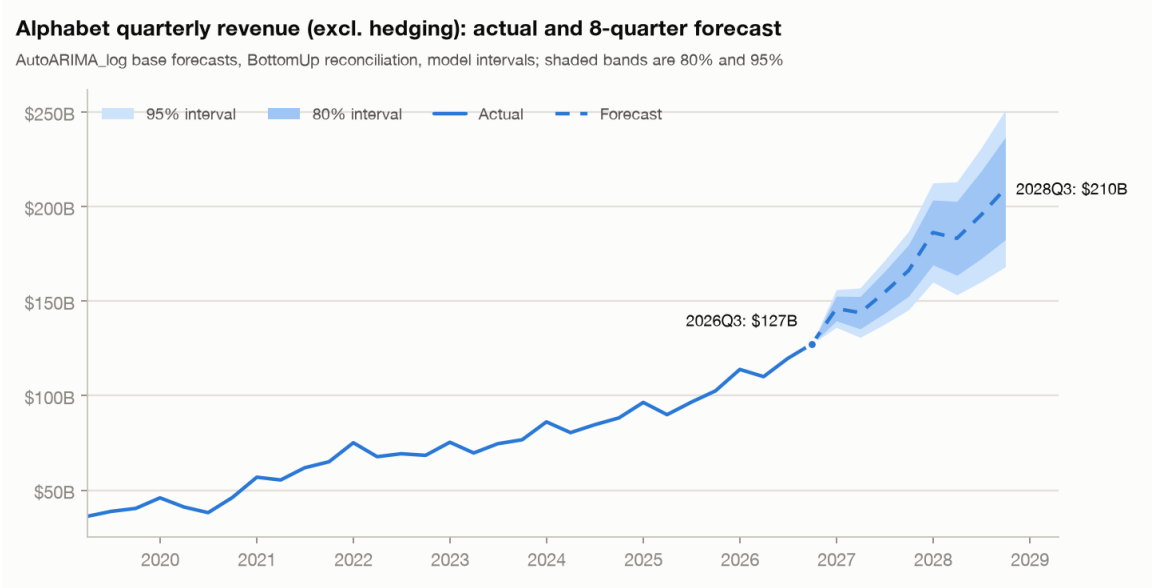
Alphabet revenue and P&L outlook: 2026Q4 to 2027Q3

Finance update, data through 2026Q3 (10-Q filed 2026-10-29). Independent educational project using public filings. Not investment advice. Not affiliated with Google/Alphabet.

For the next four quarters (2026Q4-2027Q3) we forecast revenue of **$610.7B**, 29.6% above the last four reported quarters, and operating income of **$206.9B** (margin **33.9%** vs 33.3%). The model (AutoARIMA_log + BottomUp reconciliation) was chosen on a 12-origin backtest: total-revenue WAPE 3.2% vs 14.0% for seasonal naive. On the held-out quarter (2026Q3) actual revenue differed from forecast by -$2,949M (-2.3%) and operating income by -$3,342M (-7.6%). Over the last 8 quarters, one-quarter-ahead revenue forecasts missed by 1.6% on average (1.5% with fully real-time model selection; seasonal naive 17.8%).



Top 3 drivers

1. **Google Cloud**: $83.0B of the $139.6B revenue increase (89.1% growth vs the prior four quarters).
2. **Search & other**: $41.8B of the $139.6B revenue increase (16.7% growth vs the prior four quarters).
3. **Operating margin 33.9% vs 33.3%**: the largest cost-ratio move is Cost of revenues at 37.4% of revenue (-1.7pp vs the prior four quarters; `auto` trend in assumptions.yaml).

Top 3 risks

1. **Cloud is the swing factor and the least predictable line.** In the backtest only 62% of Cloud outcomes fell inside the 80% interval (growth kept accelerating). The 2027Q3 Cloud forecast is $51.9B with a 95% interval of $37.6B-$66.3B.
2. **Depreciation vs the cost plan.** Trailing-12-month capex reached 33.9% of revenue in 2026Q3 (a year earlier: 20.2%). With capex held at that level, depreciation rises to 7.2% of revenue over the next four quarters from 5.9%, while the cost plan extends the recent -1.7pp trend in the cost-of-revenues ratio. If the +1.2pp rise in depreciation landed fully in cost of revenues, operating income would be about $7.4B lower (margin 32.7%).
3. **Search growth.** Search & other is 49.7% of 2026Q3 revenue and came in -6.5% vs forecast in 2026Q3. The downside case (Search -2pp, Cloud -5pp) lowers four-quarter revenue by $9.7B and margin to 33.4%.

Metrics to watch

- Google Cloud QoQ growth (24.0% in 2026Q3) and segment margin (36.2%).
- Search & other YoY growth (12.0% in 2026Q3).
- Capex intensity, TTM (33.9%) and cost of revenues as % of revenue.
- FX: non-US customers are 49.5% of revenue (TTM); a 5% stronger USD would lower four-quarter revenue by about $15.1B before hedging.
- Headcount 204,757 (+7.7% YoY) and TTM revenue per employee ($2.30M) as opex grows with depreciation.
- Operating-margin range across the Cloud +/-5pp and Search +/-2pp grid: 33.4%-34.3%.